

Before the
FEDERAL MARITIME COMMISSION

Docket No. 22-23

MARINE TRANSPORT LOGISTICS, INC.

v.

CMA CGM , S.A.

VERIFIED ANSWER OF RESPONDENT CMA CGM, S.A.
TO AMENDED COMPLAINT

Respondent CMA CGM., S.A. (“CMA” or “Respondent”), by its undersigned attorney, answers the Amended Complaint of Marine Transport Logistics, Inc. (“Complainant” or “MTL”) and alleges upon information and belief as follows:

INTRODUCTORY STATEMENT

The Complaint in this proceeding largely rests on two astonishing propositions. First, it argues that a finding of violation may be found, and reparations awarded, with respect to charges that were expressly waived by Respondent and never paid by Complainant (or anyone else). Second, it argues that, even in times of war, when thousands of containers, vehicles, and other cargo is forced to be diverted to an unexpected port, overwhelming its capacity, a carrier of MTL’s cargo must respond instantaneously and unerringly to MTL’s requests, no matter the logistics and without regard to the cargo of other shippers. To state each of these propositions is to refute them. We now respond to the numbered paragraphs of MTL’s Complaint.

PARTIES

1. Respondent lacks sufficient information or knowledge to admit or deny.
2. Respondent admits that the FMC website shows that there is an NVOCC of the same name but lacks sufficient information or knowledge to admit or deny whether such entity is the Complainant or the current status of Complainant.
3. Respondent admits that CMA CGM (America) LLC (“CCA”) has an office located at One Meadowlands Plaza, Suite 201, East Rutherford, NJ, 07073 and an office at 1 CMA CGM Way, Norfolk, VA 23502 (formerly 5701 Lake Wright Drive).

Respondent admits that it is a Vessel Operating Common Carrier (“VOCC”) as that term is defined by the Shipping Act (but denies unless further defined that it is a “global” VOCC). Respondent denies that CMA CGM (America) LLC is a VOCC.

Respondent admits that CCA acts as an agent for CMA for certain purposes but denies CCA is an agent “with respect to all aspects of a shipping transaction.”

Respondent admits that it is “based in France, located at 4 Quai D’Arenc, P.O. Box 2409, 13215 Marseilles Cedex 02, France.” Respondent otherwise denies the allegations of Paragraph 3 of the Amended Complaint.

JURISDICTION

4. Denied.

FACTUAL ALLEGATIONS

Container #TGBU5073710 – Booking Number NAM4887632

5. Respondent admits the allegations of paragraph 5 to the extent that emails were sent by MTL on March 3 and March 11, 2022, but states that such emails, rather than MTL’s conclusory allegations, speak to their contents.

6. Respondent admits that it sent an email to MTL on April 1, 2022 but states that the email, rather than MTL's allegations, speaks to its contents.
7. Denied.
8. Respondent specifically denies (i) that it was required to immediately load the container at Constanta; (ii) that it delayed loading the container in order to collect demurrage/detention/storage charges; and (iii) that it failed to advise as to the nature and extent of delay at Constanta. Otherwise, the allegations of paragraph 8 are denied.
9. Respondent admits that MTL sent emails to CMA on April 14, 2022 and April 21, 2022, but otherwise denies the allegations of paragraph 9. Respondent in particular denies that demurrage or storage charges were collected from Complainant or its customer.
10. Respondent denies the allegations in paragraph 10 that demurrage and storage charges were levied against MTL's Ukrainian consignee. Respondent lacks knowledge and information upon which it can admit or deny the allegation of paragraph 10 with respect to any contact made with MTL's Ukrainian consignee Ukraine as it has not been able to identify such correspondence in its records.
11. Respondent admits that on April 28, 2022, CMA notified MTL via email that MTL's request for Change of Destination had been received but denies MTL's characterization of that email.
12. Respondent admits that as of June 20, 2022 the container had not been delivered to Bremerhaven. Respondent admits that it sent an email to MTL on June 24, 2022

stating that the estimated time of arrival (ETA) of the container would be July 17, 2022, but otherwise denies MTL's characterization as to the contents of the email.

13. Respondent lacks knowledge and information upon which it can admit or deny the allegations of paragraph 13 with respect to alleged emails sent by MTL dates July 8, July 18, or July 19, 2022 with respect to booking number NAM4887632 as it has not been able to identify such emails in its records. Respondent denies that any demurrage/detention/ storage charges have been levied against Complainant with respect to booking number NAM4887632. Respondent denies the characterization of paragraph 13 that any alleged failure on the part of CMA to change the consignee and notify party for the subject container would cause demurrage, detention, or storage charges to accumulate, as all such charges were waived by CMA.

Container #UETU5251612 – Booking Number NAM4996094

14. Respondent admits that it received an email from MTL dated March 3, 2022 with respect to booking number NAM4996094, but denies MTL's characterization of that email, as it speaks for itself.
15. Respondent admits that the container booked under booking number NAM4996094 was discharged in Constanta due to the war in Ukraine which made delivery of the cargo to the Port of Odessa impossible. Respondent lacks knowledge and information upon which it can admit or deny the allegations of paragraph 15 regarding an alleged email from MTL dated March 11, 2022 with respect to booking number NAM4996094 as it has not been able to locate such an email in its records. Respondent admits that it received an email from MTL dated March 25, 2022 with respect to booking number NAM4996094, but denies MTL's characterization of the

contents of the email, which speaks for itself. Respondent specifically denies (i) that it was required to immediately load the container at Constanta; (ii) that it delayed loading the container in order to collect demurrage/detention/storage charges; and (iii) that it failed to advise as to the nature and extent of delay at Constanta.

16. Respondent admits that on June 10, 2022, MTL sent an email to CMA with respect to booking number NAM4996094 but denies MTL's characterization as the email speaks for itself. Respondent lacks knowledge or information upon which it can admit or deny the allegations of paragraph 16 with respect to the alleged email sent in response to MTL's email of June 10, 2022 with respect to booking number NAM4996094 as it has not been able to identify such an email in its records.

17. Respondent admits that on June 14, 2022 it advised MTL that the amended Bill of Lading amending the consignee and notify party for booking number NAM4996094 had been posted. Respondent denies that the consignee was not amended by CMA. Respondent denies that the consignee was amended on June 15, 2022. Otherwise, Respondent denies the allegations of paragraph 17.

18. Respondent denies that MTL had paid all freight charges. Respondent denies that the Sea Waybill ("SWB") was issued on June 26, 2022. Respondent denies that the issuance of the revised SWB was delayed. Otherwise, Respondent denies the allegations of paragraph 18.

Container #SEGU6471959 – Booking Number NAM4887650

19. Respondent admits the allegation in paragraph 19 that on March 3, 2022 MTL sent an email to CMA with respect to booking number NAM4887650 but denies MTL's characterization as the email speaks for itself. Respondent further admits that an

email was sent by MTL to CMA on March 11, 2022, but denies MTL's characterization as the email speaks for itself. Respondent denies that any demurrage/detention/storage charges have been levied. Respondent further denies that CMA delayed loading the container for several months to try to collect demurrage/storage charges. Respondent denies that it failed to advise as to the nature and extent of delay at Constanta. Otherwise, Respondent denies the allegations of paragraph 19.

20. Respondent lacks knowledge and information upon which it can admit or deny the allegations of paragraph 20 with respect to alleged email sent by MTL on June 7, 2022 with respect to booking number NAM4887650 as it has not been able to identify such an email in its records. Respondent lacks knowledge and information upon which it can admit or deny the allegations or paragraph 20 with respect to an alleged email sent by Respondent in response to MTL's email of June 7, 2022 with respect to booking number NAM4887650 as it has not been able to identify such an email in its records.

21. Respondent admits the allegations of paragraph 21 to the extent that CMA changed the consignee and amended the draft Bill of Lading on June 14, 2022. Respondent lacks knowledge and information upon which it can admit or deny the allegations of paragraph 21 with respect to an alleged email sent by MTL regarding booking number NAM4887650 as it has not been able to identify such an email in its records. Respondent denies that the SWB was delayed by five days.

Container #UESU5180789 – Booking Number NAM4887651

22. Respondent admits the allegations of paragraph 22 that emails were sent by MTL to CMA on March 3, 2022 and March 11, 2022 with respect to booking number NAM4887651 but denies MTL's characterizations of those emails, as they speak for themselves. Respondent denies the allegations that demurrage/detention/ storage charges have been levied and that CMA delayed loading the container for several months to try to collect demurrage/storage charges.
23. Respondent admits that MTL sent an email to CMA on June 27, 2022 with respect to booking number NAM4887651 but denies MTL's characterization of that email, as it speaks for itself. Respondent lacks knowledge and information upon which it can admit or deny the allegations of paragraph 23 with respect to an alleged email sent by CMA to MTL with respect to booking number NAM4887651 as it has not been able to identify such an email in its records.

Container #TRLU7542206 – Booking Number NAM5020932

24. Respondent admits the allegations of paragraph 24 that emails were sent by MTL to CMA on March 3, 2022 and March 11, 2022 with respect to booking number NAM5020932, but denies MTL's characterization of those emails as they speak for themselves. Respondent admits that the container moving under booking number NAM5020932 was delivered to Constanta, Romania. Respondent admits that it made the Change of Destination as requested by MTL from Odessa to Bremerhaven. Respondent denies paragraph 24 to the extent it suggests that any demurrage/detention/storage charges have been levied. Respondent denies (i) that it was required to immediately load the container at Constanta; (ii) that it delayed

loading the container in order to collect demurrage/detention/storage charges; and
(iii) that it failed to advise as to the nature and extent of delay at Constanta.

Otherwise, the allegations of paragraph 24 are denied.

25. Respondent admits the allegations of paragraph 25 that MTL sent emails to CMA on March 25, 2022, and June 12, 2022 but denies MTL's characterizations of those emails, as they speak for themselves. Respondent lacks knowledge and information upon which it can admit or deny the allegation of paragraph 22 with respect to an alleged email sent by CMA to MTL on June 12, 2022 with respect to booking number NAM4887651 as it has not been able to identify such an email in its records. Respondent denies the allegation of paragraph 25 that CMA failed to change the consignee and notify party.
26. Respondent lacks knowledge and information upon which it can admit or deny the allegation of paragraph 26 that MTL allegedly sent an email to CMA on June 13, 2022 with respect to booking number NAM5020932 as it has not been able to identify such an email in its records.
27. Respondent denies the allegations of paragraph 27 that CMA delayed issuing the Sea Waybill ("SWB"). Respondent denies that the Sea Waybill was issued on June 23, 2022.
28. Respondent denies the allegations of paragraph 28 and asserts that none of CMA's conduct with respect to Container/Booking Nos. (1) TGBU507310-NAM4887632; (2) TRLU7542206-NAM5020932; (3) UETU5251612-NAM4996094; (4) SEGU6471959-NAM4887650; and (5) UESU5180789-NAM4887651 show any

alleged pattern; as the war in Ukraine prevented the delivery of cargo to the Port of Odessa.

Container #TCNU3475181 – Booking Number NAM3933751

29. Respondent lacks information and knowledge upon which it can admit or deny the allegation of paragraph 29 that MTL timely provided all relevant documentation to CMA as it has not been able to identify such information in its records. Respondent admits that the container could not be loaded on the originally scheduled vessel because of Export Sanction Control issues with the cargo. Otherwise, Respondent denies the allegations of paragraph 29.
30. Respondent admits the allegations of paragraph 30 relating to the fact that there are restrictions on jet ski shipments to Libya. Otherwise, Respondent denies the allegations of paragraph 30.
31. Respondent admits the allegations of paragraph 31 that Container #TCNU3475181 – booking number NAM3933751 was in-gated. Respondent further admits that Container #TCNU3475181 – booking number NAM3933751 remained on the terminal at origin from 26 June, 2020 until 10 July, 2020. Respondent specifically denies the allegations that there was no reason to keep the container at the terminal and denies that Respondent had a purpose of assessing demurrage penalties with respect to the subject shipment. Respondent lacks information and knowledge upon which it can admit or deny the allegation of paragraph 31 with respect to the date upon which it notified MTL of the Export Sanction Control restriction as it has not been able to identify such a notification in its records.

32. Respondent lacks sufficient information or knowledge to admit or deny the allegations of paragraph 32 because they are unclear.
33. Respondent denies the allegations of paragraph 33 as it lacks sufficient information or knowledge of what MTL may have said to its counsel. Respondent denies that it had a duty to advise MTL that demurrage would be accumulating while the dispute was pending, and therefore denies it failed to do so. Respondent denies that the contracted-for free period was not applied to the demurrage invoice.

Container # BMOU5265030 - Booking Number NAM4588370

34. Respondent specifically denies the allegation of paragraph 34 that in or around August of 2021, that CMA caused booking number 4588370 to “roll.” Respondent admits that MTL did not timely provide documentation and admits that it assessed rollover and demurrage charges on Complainant. Respondent denies the allegation of paragraph 34 that MTL provided all required documentation timely, pursuant to CMA’s instructions. Respondent denies the failure to load the cargo in booking number 4588370 was caused by Respondent’s action or inaction. Respondent denies that it assessed charges on this booking relating to “rollover” and demurrage.
35. Respondent lacks sufficient information or knowledge to admit or deny the allegations of paragraph 35 because they are unclear. Respondent specifically denies that it improperly changed any dates/deadlines for submission of export documents. Otherwise, Respondent denies the allegations of paragraph 35.
36. Respondent denies the allegations of paragraph 36. Respondent specifically denies that it had a “practice” and denies that it had a “practice not to advise its clients of

changing cut off dates in any manner, is that rollovers will occur, and demurrage will be assessed.”

Container # FFAU4420241- Booking Number NAM5194626

37. Respondent admits that for booking number NAM5194626 Complainant timely provided documentation one hour prior to cut off. Respondent specifically denies that it had any practice. Respondent otherwise denies the allegations of paragraph 37.
38. Respondent denies the allegations of paragraph 38, as it lacks sufficient information or knowledge to admit or deny what MTL may have said to its counsel.
39. Respondent denies the allegations of paragraph 39, as it lacks sufficient information or knowledge to admit or deny what MTL may have said to its counsel.
40. Respondent admits the allegations of paragraph 40 that MTL filed a formal complaint, available publicly on the Commission’s website as Docket No. 18-07, *Marine Transport Logistics, Inc. v. CMA CGM (America), LLC*. Respondent further admits that the parties settled the dispute, and the proceeding was dismissed by the Commission without a substantive decision, as also indicated in the public docket. Respondent denies Complainant’s characterization of the allegations of that complaint.

CAUSE OF ACTION

41. Respondent repeats responses to Allegations 1 to 40 above.
42. Respondent denies the allegations of paragraph 42 as they call for legal conclusions.

DAMAGES

43. Respondent admits the allegations of paragraph 43 that the Complaint seeks the specified reparations, but denies that Complainant suffered such damage or that it is entitled to any reparations.

REQUEST FOR A HEARING

44. Respondent does not request an oral hearing at this time, but reserves the right to do so if developments warrant to be held in Washington, D.C.

AFFIRMATIVE DEFENSES

45. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint insofar as it relates to charges for the carriage of cargo outside of the U.S.-foreign oceanborne trades.
46. The Complaint fails to state a valid cause of action against Respondent under the Shipping Act.
47. The Complaint fails to state a claim for which relief can be granted.
48. The Complaint fails to allege the essential elements of a claim under 46 U.S.C. 41102(c).
49. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which are themselves denied.
50. If Complainant suffered any injury, which is denied, Complainant failed to mitigate its damages.

51. Respondent reserves the right to seek enforcement of the forum selection clause and/or choice of law clause contained in the applicable service contract governing the shipments.
52. Any actions by Respondent and any theoretical harm to Complainant were caused by Complainant's violation or attempted violation of 46 U.S.C. 41104(a)(1).

PRAYER FOR RELIEF

WHEREFORE, Respondent CMA respectfully requests that the Federal Maritime Commission deny the relief sought by Complainant.

DATED: January 20, 2023

Respectfully submitted,

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Attorneys for Respondent CMA CGM, S.A.

CERTIFICATE OF SERVICE

I hereby certify that I have served a true and correct copy of the foregoing Answer of Respondent CMA CGM (America) LLC on the Complainant by sending a copy via email to Complainant's attorney at the following address:

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VERIFICATION

I, David Swetland, declare and state that I am Vice President, Service Delivery, CMA CGM (America), LLC, authorized to appear in this proceeding for Respondent CMA CGM, S.A.; that I have heard the foregoing Complaint; and that the facts stated therein are true to the best of my knowledge, information, and belief formed after reasonable inquiry.

I declare this 20th Day of January, 2023, under penalty of perjury, that the foregoing is true and correct.


David Swetland